No Safe Ground

Nasdaq in correction. Semis whipsaw. Brent at $108. Deadline expires Saturday.

MARKETS

THURSDAY ERASES WEDNESDAY'S GAINS AND THEN SOME – NASDAQ ENTERS CORRECTION. Thursday delivered the most damaging session since the conflict began. The S&P 500 fell 1.74% to 6,477, the Dow declined 1.01%, the Nasdaq shed 2.38%—officially entering correction territory—and the Russell 2000 dropped 1.74%. UVXY surged 10.45%, the largest single-session volatility spike of the war. Ten of eleven sectors closed red, with tech (–3.11%) and industrials (–2.32%) leading losses. Only energy (+1.57%) finished green.

The selloff had multiple converging catalysts: Iran's formal rejection of the 15-point plan, the White House's –unleash hell– rhetoric, reports that SMIC may have supplied semiconductor equipment to Iran's military industrial complex, and Google's TurboQuant algorithm continuing to pressure memory names. TLT fell 0.84%—bonds offered no refuge as yields rose alongside oil. DVY (+0.33%) outperformed IWS (–1.20%) and IUSG (–2.82%).

The semi sleeve reversed violently: AMD, which surged 7.26% on Wednesday, fell 7.49% to $203.77. TSM dropped 6.22% to $326.11. LRCX plunged sharply, its worst session of the year, as the TurboQuant memory compression narrative intensified. KEYS fell 4.11%, ADI shed 2.67%, NVDA declined 4.16%. The Philadelphia Semiconductor Index fell 2.9%, its largest daily decline since March 12. The SMIC-Iran reveal compounds the TurboQuant headwind: if confirmed, additional sanctions could cascade through global chip supply chains.

Energy was the sole sector in the green as the escalation trade reasserted itself. VLO surged 5.80% to $248.14, its strongest session since the war began. CVX gained 1.29%, OKE added 1.57%. Brent crude settled at $108.01 on Thursday—approaching the war-era highs near $114 from earlier this month. WTI is back above $94. The market is repricing Hormuz disruption duration: with Iran's rejection, full Hormuz normalization could remain weeks or months away.

Gold fell 3.76% after rallying 3.01% on Wednesday—the sharpest two-session reversal of the conflict. GLD closed at $400.64. The digital asset sleeve also reversed: IBIT fell 3.36%, ETHA dropped 5.79%, HUT plunged 9.06%, COIN shed 4.26%. BTC is testing the 200-day moving average near $69,200.

IOWN Tactical: Wednesday's constructive session lasted exactly 18 hours. The market's inability to hold gains tells the story: every rally attempt since the war began has been sold into. Today is the last trading session before the five-day deadline expires. The dividend sleeve is outperforming because it was built for exactly this kind of sustained uncertainty. Think Like an Owner.

GEOPOLITICS

THE DIPLOMATIC WINDOW IS EFFECTIVELY CLOSED – SATURDAY'S DEADLINE APPROACHES. Iran's rejection of the 15-point plan has hardened. Foreign Minister Araghchi stated exchanges through Pakistani mediators do not constitute negotiations with the United States, and the regime's five-point counter-demands—reparations, Hormuz sovereignty, halt to assassinations—are functionally incompatible with Washington's requirements. The White House responded with its most aggressive rhetoric: Press Secretary Leavitt stated Trump is prepared to unleash hell. At least 6,000–8,000 US ground troops, including 82nd Airborne paratroopers, are moving toward the Gulf.

The five-day pause on power plant strikes expires approximately Saturday, March 29. If no framework emerges, the strike threat returns and the Financial Times's assessment of a potential US assault on Kharg Island becomes the operative scenario for oil markets. Reuters reports traders are spending sleepless nights as the conflict roils global markets.

Reports emerged Thursday that China's SMIC may have been supplying semiconductor manufacturing equipment to Iran's military industrial complex—a potential sanctions violation that would represent a qualitative escalation in the US-China dimension of the conflict. If confirmed, additional sanctions against SMIC and related Chinese tech entities could cascade through global chip supply chains, further pressuring semiconductor names already reeling from the TurboQuant overhang.

In a notable development, the Financial Times reports that the UAE has expressed willingness to join an international force to reopen the Strait of Hormuz—the first Gulf state to formally offer military participation in clearing the waterway. India is rekindling its relationship with Russia as a hedge against oil supply disruption. Europe is scaling back climate goals to ease the energy shock. The war's ripple effects are reshaping alliances across four continents.

ON OUR RADAR

1. Today is the last trading session before the five-day deadline expires. Saturday, March 29 is when Trump's pause on power plant strikes ends. The overnight posture—troop deployments, unleash hell rhetoric, oil at $108—suggests the market is pricing escalation as the base case. If the weekend brings strikes, Monday could gap significantly lower for equities and higher for oil. If a last-minute framework emerges, the relief trade could be violent in the other direction. IOWN's positioning through both scenarios: CVX, VLO, OKE, GD, and LMT for escalation; the broader growth and dividend sleeves for eventual normalization. Think Like an Owner—the binary outcome window is measured in hours, not days.

2. The semi sleeve's two-day whipsaw demands discipline. AMD +7.26% then –7.49%. LRCX had its worst session of the year. The CPU pricing power thesis that drove Wednesday's rally has not changed. What changed was the overlay of SMIC sanctions risk, TurboQuant sentiment, and broad risk-off selling. The logic-side names (NVDA, AMD, TSM) face a different and more manageable headwind than the equipment makers. Research Reveals Opportunities—distinguishing between sentiment and fundamentals is the work of the next several sessions.

3. Morgan Stanley's Bitcoin ETF (MSBT) received an NYSE listing notice. Bloomberg's Eric Balchunas characterized the launch as imminent. Morgan Stanley would be the first major US bank to issue a proprietary Bitcoin ETF, with an estimated fee of approximately 0.24% (below IBIT's 0.25%), Coinbase as custodian, and Jane Street and Virtu as authorized participants. The structural significance: Morgan Stanley's 16,000 financial advisors managing approximately $9.3 trillion in client assets could now proactively allocate to a proprietary BTC product. Constructive for IBIT on a medium-term horizon; near-term price action remains dominated by geopolitical overhang.

4. The dividend sleeve is quietly outperforming. DVY +0.33% on Thursday while IWS fell 1.20% and IUSG dropped 2.82%. VLO (+5.80%), SYK (+1.54%), ORI (+1.14%), ADP (+1.19%), ATO (+0.90%), and GD (+0.79%) all posted gains against a market that lost nearly 2%. The sleeve was built for sustained uncertainty—low-volatility cash generation that compounds through drawdowns. Avoid Erosion.

5. February PCE is not this morning – it's been rescheduled to April 9. The BEA pushed the February Personal Income & Outlays release to April 9 due to the 2025 government shutdown. There is no inflation print today. The last data point the committee has is January PCE (released March 13): headline +2.8% year-over-year, core +3.1%—above the Fed's target and already pre-war. The OECD's revised 4.2% headline inflation forecast for 2026 is the operative macro overhang. The Fed meets next week with no new inflation data in hand. Simplicity Over Complexity—the calendar is lighter than it looked, which means geopolitical headlines are the only driver today.

6. Rates and oil rising together is the stagflation signal the Fed cannot ignore. The 10-year Treasury yield rose to 4.43% on Thursday even as equities sold off—bonds offered no refuge. That is the double squeeze: tighter financial conditions and higher energy costs simultaneously. The Fed meets next week with core PCE running above 3%, oil near $108, and one cut priced for all of 2026. Macquarie has already called the next Fed move a hike. If Hormuz remains closed through April, the Fed's already-narrow path closes further. For IOWN: duration risk is elevated, floating-rate and energy-linked cash flows outperform, and patience on the growth sleeve is structural. Think Like an Owner.

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